Required Quiz 9.1: Week 9 Quiz

Due May 24 at 11:59pm **Points** 20 **Questions** 20
Available May 11 at 12am - May 24 at 11:59pm **Time Limit** 30 Minutes

Instructions

Learning Outcome Addressed

- Demonstrate the ability to assess and manage financial risks and recommend an optimum capital portfolio for a firm.

It is now time to assess your understanding of the concepts covered so far in this week.

Quiz Instructions

- The time limit for this quiz is 30 mins. Kindly complete and submit this quiz within this time.
- You have only one attempt to answer the quiz.
- The quiz must be attempted by **Sunday, May 24, 2026, by 11:59 PM IST.**
- The correct answers will be displayed after quiz submissions deadline.

Note: *This is a graded quiz and counts towards course completion.*

This quiz was locked May 24 at 11:59pm.

Submission Details:

Time:	7 minutes
Current Score:	20 out of 20
Kept Score:	20 out of 20

Attempt History

	Attempt	Time	Score
LATEST	Attempt 1	7 minutes	20 out of 20

Score for this quiz: 20 out of 20
Submitted May 23 at 7:43pm
This attempt took 7 minutes.

Question 1 — 1 / 1 pts

Which source has fixed obligation?

- Retained earnings
- Reserves
- Debt — Correct!
- Equity

That's correct!

Question 2 — 1 / 1 pts

Equity financing represents:

- Ownership funds — Correct!
- Borrowed funds
- Liability
- Loan

That's correct!

Question 3 — 1 / 1 pts

The goal of capital structure decision is to:

- Increase liabilities
- Maximize shareholder wealth — Correct!

Maximize shareholder wealth

Minimize sales

Maximize profit only

That's correct!

Question 4

1 / 1 pts

Optimal capital structure is achieved when:

- Profit is maximum
- Correct! Cost of capital is minimum
- Debt is zero
- Sales are maximum

That's correct!

Question 5

1 / 1 pts

The main objective of capital structure is to:

- Increase expenses
- Correct! Minimize cost of capital
- Reduce assets
- Maximize sales

That's correct!

Question 6

1 / 1 pts

Net Income (NI) approach suggests:

- Capital structure irrelevant
- No relationship
- Value decreases with debt
- Correct! Value increases with more debt

That's correct!

Question 7

1 / 1 pts

Capital structure refers to:

- Structure of assets
- Correct! Mix of debt and equity
- Sales structure
- Profit structure

That's correct!

Question 8

1 / 1 pts

Debt financing involves:

- Internal reserves

Internal reserves

Equity shares

Ownership capital

Correct!

Borrowed funds

That's correct!

Question 9

1 / 1 pts

If WACC decreases, firm value:

Becomes zero

Remains same

Decreases

Correct!

Increases

That's correct!

Question 10

1 / 1 pts

Traditional approach suggests:

Equity should be zero

No optimal capital structure

Correct!

Optimal capital structure exists

Debt should be zero

That's correct!

Question 11

1 / 1 pts

Modern approach (MM theory) assumes:

Imperfect market

High taxes

Correct!

Perfect market

No competition

That's correct!

Question 12

1 / 1 pts

High debt leads to:

Correct!

High financial risk

No risk

Low risk

Low return

That's correct!

Question 13

1 / 1 pts

Which factor affects capital structure decision?

Business risk

Cost of capital

Correct!

All of the above

Market conditions

That's correct!

Question 14

1 / 1 pts

Under NOI approach, cost of capital is:

Correct!

Constant

Variable

Zero

Increasing

That's correct!

Question 15

1 / 1 pts

Debt is cheaper than equity because:

Correct!

Interest is tax deductible

No risk

No obligation

No repayment

That's correct!

Question 16

1 / 1 pts

Modigliani-Miller (MM) theory states (without taxes):

Equity increases value

Correct!

Capital structure irrelevant

Risk is ignored

Debt increases value

That's correct!

Question 17

1 / 1 pts

Capital structure decision affects:

Sales only

Profit only

Correct!

Risk and return

Expenses only

That's correct!

Question 18

1 / 1 pts

With taxes, MM theory suggests:

- Debt has no benefit
- Equity is cheaper
- Correct! Debt provides tax advantage
- No change

That's correct!

Question 19

1 / 1 pts

Financial leverage can increase:

- Sales
- Correct! EPS
- Expenses
- Assets

That's correct!

Question 20

1 / 1 pts

Net Operating Income (NOI) approach states:

- Only equity matters
- Correct! Capital structure irrelevant
- Only debt matters
- Capital structure affects value

That's correct!

Quiz Score: **20** out of 20

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